

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

(i) CIT

It is a tax levied by the mainland China (“the Mainland”) tax authority on taxable income. It is a tax on profits and hence not an expense allowable for deduction under s.16(1) and s.17(1)(b) of the Inland Revenue Ordinance (“IRO”), which only allow deduction of outgoings and expenses incurred in the production of chargeable profits. Therefore, the CIT of RMB 200,000 is not allowable for deduction under profits tax. (Para.4, DIPN No.28 issued in July 1997)

However, since Hong Kong has in place the Comprehensive Double Taxation Arrangement with the Mainland, ABC may lodge a claim for tax credit relief under s.50(1) of the IRO in respect of the CIT paid against the profits tax payable in Hong Kong in respect of the same profits doubly taxed in both jurisdictions.

(ii) VAT

It is a tax on turnover and is payable irrespective of whether a company makes profits or not. Therefore, the VAT of RMB 50,000 is allowable for deduction under s.16(1) of the IRO. (Para.5, DIPN No.28 issued in July 1997)

(iii) IIT of the manager

It would normally be regarded as staff remuneration and therefore accepted as an expense incurred in the production of chargeable profits. Therefore, the IIT of RMB 30,000 can also be deducted under s.16(1) of the IRO.

Answer 1(b)

Profits Tax computation for the year of assessment 2016/17

	HK\$
Profits per computation	20,000,000
<u>Add:</u> CIT (RMB 200,000 x 100 / 80)	<u>250,000</u>
Adjusted profits	20,250,000
<u>Less:</u> CIT not allowed as a tax credit ^(Note)	<u>101,797</u>
Assessable profits	<u>20,148,203</u>
Tax payable thereon (@16.5%)	3,324,453
<u>Less:</u> Allowable tax credit ^(Note)	<u>148,203</u>
Net tax payable	<u>3,176,250</u>

Note:

Profits doubly taxed	
(RMB 200,000 / 25% x 100 / 80)	1,000,000
CIT paid in the Mainland (RMB 200,000 x 100 / 80)	<u>250,000</u>
Net profits from the Mainland	750,000
Net profits from the Mainland grossed up	
at effective Hong Kong tax rate	
(HK\$750,000 / (100% - 16.5%))	<u>898,203</u>
Allowable tax credit	148,203
CIT paid in the Mainland	<u>250,000</u>
CIT not allowed as a tax credit	<u>101,797</u>

Answer 2(a)

As the payment will be made to a related party, when determining the quantum of the service fee, ABC should follow the arm's length principle, which is the international transfer pricing standard that should be used for tax purposes. The behaviour of independent enterprises should be used as a benchmark to determine the arm's length consideration or profits in relation to controlled transactions. (Para.2, DIPN No.48 issued in March 2012)

Answer 2(b)

The Inland Revenue Department ("IRD") would not charge any fee for the service. However, ABC has to incur costs for preparation of a properly developed and documented proposal and a case plan for submission to the IRD for consideration.

The benefit of seeking a bilateral Advance Pricing Arrangement ("BAPA") is that upon mutual agreement having been made, each side confirms the terms of the BAPA in writing with their respective resident enterprises and agrees to be bound by them. It therefore provides certainty to enterprises that double taxation will not arise. (Para.10, DIPN No.48 issued in March 2012)

Answer 3

Interest income

Only interest income arising in or derived from Hong Kong is liable to profits tax. For interest earned by persons other than financial institutions, the place of derivation of interest is the place where the credit was provided to the borrower, i.e. the place where the funds from which interest is derived were provided to the borrower, commonly known as the provision of credit test. The currency in which the loan is denominated, the place of residence of the debtor or the place where the debtor employs the capital are all irrelevant in determining the source of interest income.

In the present case, as the loan is provided by ABC to the Subsidiary which is situated in the Mainland, it is likely that the fund would be provided to the Subsidiary outside Hong Kong, and so the interest income can be accepted as offshore sourced and not taxable in Hong Kong.

Interest expense

S.16(1) of the IRO provides that in ascertaining the profits in respect of which a person is chargeable to tax for any year of assessment, there shall be deducted all outgoings and expenses to the extent to which they are incurred during the basis period for that year of assessment by such person in the production of profits in respect of which he is chargeable to profits tax. S.16(1)(a) of the IRO specifically provides for, subject to certain conditions, deduction of sums payable by a person by way of interest on any money borrowed by him for the purpose of producing chargeable profits.

In the present case, ABC intends to borrow money from a bank in Hong Kong for on-lending to the Subsidiary. Given no chargeable income would be generated by incurring the interest expenses, the bank interest incurred by ABC cannot be accepted as incurred in the production of chargeable profits and hence not deductible under s.16(1) or s.16(1)(a) of the IRO.

Answer 4(a)

Under s.23B(1) of the IRO, where a person carries on a business as an owner of ships and the person is a company incorporated in Hong Kong, that person shall be deemed to be carrying on shipping business in Hong Kong. It is defined in s.23B(12) that owner, in relation to a ship, includes a charterer of the ship under a charter-party.

As ABC is a company incorporated in Hong Kong and intends to carry on a business as a ship-owner, it will be deemed to be carrying on a shipping business in Hong Kong under s.23B(1) of the IRO in respect of the profits derived from ships owned by it or chartered from other ship-owners.

Answer 4(b)

According to s.23B(3) of the IRO, the assessable profits of ABC derived from its shipping business shall be the profits attributable to the relevant sums earned by or accrued to it during the basis period for that year of assessment as follows:

$$\text{Total shipping profits} \times \frac{\text{Relevant sums}}{\text{Total shipping income}}$$

Under s.23B(12) of the IRO, relevant sums is defined to include any relevant carriage shipped in Hong Kong, but does not include exempt sums while exempt sums includes any sums attributable to any relevant carriage shipped aboard a registered ship at any location within the waters of Hong Kong and proceeding to sea from that location or any other location within those waters.

The above provisions mean that in Hong Kong, ship-owners will be exempt from profits tax in respect of income derived from international operation of ships if the ships are registered in Hong Kong. In the present case, as ABC intends to arrange all the ships departing from the Kai Tak Cruise Terminal and proceeding to sea, the income generated from the carriage of passengers by the ships registered in Hong Kong, i.e. those owned by ABC, would be regarded as exempt sums not chargeable to profits tax while those derived from the ships registered outside Hong Kong, i.e. those chartered from other ship-owners, will be included as relevant sums and subject to profits tax.

Answer 5

S.8(1)(a) of the IRO provides that income derived from any office or employment of profit should be chargeable to salaries tax in Hong Kong as long as it is arising in or derived from Hong Kong. Exemption from salaries tax provided for under s.8(1A) of the IRO is only available to income from employment and not the income from office.

In the present case, Mr Chan was a director of ABC up to 30 June 2016 and there was no employment agreement entered into between them. Therefore, any income derived by him for the period from 1 January 2016 up to 30 June 2016 should be regarded as income from office and no exemption would be available to him unless he can prove that the income for that period was derived from an employment.

In regard to the income derived by him for the period from 1 July 2016 to 31 December 2016, he may claim that it was derived from an employment with ABC as he no longer held any office with ABC. If he can prove that he had rendered no services in Hong Kong during that period, he would be entitled to the exemption provided for under s.8(1A)(b)(ii) of the IRO in respect of the income derived for that period.

Answer 6(a)

S.5(1) of the IRO provides that property tax shall be charged on every person being the owner of any land or buildings wherever situate in Hong Kong. As Mr Wong is the owner of Property A, he should be personally liable to property tax in respect of the rental income derived from it. He is not free to choose to include the rental income derived from Property A into the accounts of ABC. Similarly, ABC, being the owner of Property B, shall be liable to property tax in respect of the relevant rental income.

At the same time, as ABC is a corporation carrying on business in Hong Kong and rental income derived from Property B is its business income, the rental income should also be chargeable to profits tax under s.14(1) of the IRO. However, as ABC is a corporation carrying on business in Hong Kong, it shall be entitled to apply for exemption from property tax under s.5(2)(a) of the IRO or deduction of property tax from profits tax pursuant to s.25 of the IRO.

Answer 6(b)

The net assessable value of each property for the year of assessment 2016/17 is computed as follows:

<u>Property A</u>	HK\$
Rent (HK\$30,000 x 3) [s.5B(2)]	90,000
<u>Less: Rates [s.5(1A)(b)(i)]</u>	<u>4,500</u>
	85,500
<u>Less: 20% statutory outgoings [s.5(1A)(b)(ii)]</u>	<u>17,100</u>
Net assessable value	<u><u>68,400</u></u>
 <u>Property B</u>	 HK\$
Rent (HK\$20,000 x 12) [s.5B(2)]	240,000
<u>Less: 20% statutory outgoings [s.5(1A)(b)(ii)]</u>	<u>48,000</u>
Net assessable value	<u><u>192,000</u></u>

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 7

SK (Asia) Limited

(i) Deduction allowable under Part 4 of the IRO

2015/16: HK\$[(1,000 × 8) + (500 × 3)] = HK\$9,500 (Interest expense under s.16(1) and s.16(1)(a) of the IRO)

2016/17: HK\$[(1,000 × 2) + (500 × 12)] = HK\$8,000 (Interest expense under s.16(1) and s.16(1)(a) of the IRO)

2017/18: HK\$500 × 12 (Interest expense under s.16(1) and s.16(1)(a) of the IRO) + HK\$230,000 × 1/5 (refurbishment expense under s.16F of the IRO) = HK\$52,000

(ii) Deduction allowable under Part 6 of the IRO

	20% pool HK\$	30% pool HK\$	HP asset A 20% HK\$	HP asset B 20% HK\$	CBA HK\$	IBA HK\$	Total HK\$
2015/16	296,400	105,730	-	-	320,000	-	
TWDV b/f							
Additions	<u>250,000</u>	-	600,000	700,000	-	-	
	546,400	-	-	-	-	-	
Less: IA	<u>(150,000)</u>	-	<u>(313,200)</u> ¹	<u>(104,100)</u> ²	-	-	567,300
	396,400	-	286,800	595,900	-	-	
Less: AA	<u>(79,280)</u>	<u>(31,719)</u>	<u>(57,360)</u>	<u>(119,180)</u>	<u>(16,000)</u> ³	-	303,539
TWDV c/f	<u>317,120</u>	<u>74,011</u>	<u>229,440</u>	<u>476,720</u>	<u>304,000</u>	-	
Total for 2015/16							<u>870,839</u>

2016/17	317,120	74,011	229,440	476,720	304,000	-	
TWDV b/f							
Less: IA	-	-	<u>(46,800)</u> ⁴	<u>(140,400)</u> ⁵	-	-	187,200
	-	-	182,640	336,320	-	-	
Less: sale proceeds	<u>(85,000)</u>	<u>(30,000)</u>	-	-	-	-	
	232,120	44,011	-	-	-	-	
Less: AA	<u>(46,424)</u>	<u>(13,203)</u>	<u>(36,528)</u>	<u>(67,264)</u>	<u>(16,000)</u> ³	-	179,419
TWDV c/f	<u>185,696</u>	<u>30,808</u>	<u>146,112</u>	<u>269,056</u>	<u>288,000</u>	-	
Total for 2016/17							<u>366,619</u>

2017/18	185,696	30,808	146,112	269,056	288,000	-	
TWDV b/f							
Transfer	<u>146,112</u>	-	<u>(146,112)</u>	-	-	-	
into pool							
	331,808	-	=	-	-	-	
Addition	-	-	-	-	<u>145,000</u>	<u>380,000</u>	
	-	-	-	-	433,000	380,000	
Less: IA	-	-	(140,400) ⁵	-	-	(76,000) ⁶	216,400
	-	-	128,656	-	-	304,000	
Less: AA	<u>(66,362)</u>	<u>(9,242)</u>	<u>(25,731)</u>	<u>(21,800)</u> ⁷	<u>(15,200)</u> ⁸		<u>138,335</u>
TWDV c/f	<u>265,446</u>	<u>21,566</u>	<u>102,925</u>	<u>411,200</u>	<u>288,800</u>		
Total for							<u>354,735</u>
2017/18							

Notes:

1. $[\text{HK\$}210,000 + [\text{HK\$}(40,000 - 1,000) \times 8]] \times 0.6 = \text{HK\$}313,200$
2. $[\text{HK\$}115,000 + [\text{HK\$}(20,000 - 500) \times 3]] \times 0.6 = \text{HK\$}104,100$
3. $\text{HK\$}400,000 \times 4\% = \text{HK\$}16,000$
4. $[\text{HK\$}(40,000 - 1,000) \times 2] \times 0.6 = \text{HK\$}46,800$
5. $[\text{HK\$}(20,000 - 500) \times 12] \times 0.6 = \text{HK\$}140,400$
6. $\text{HK\$}380,000 \times 0.2 = \text{HK\$}76,000$
7. $\text{HK\$}(400,000 + 145,000) \times 4\% = \text{HK\$}21,800$
8. $\text{HK\$}380,000 \times 4\% = \text{HK\$}15,200$

Answer 8

Under s.9(1)(d) of the IRO, gain realised by the exercise of, or by the assignment or release of, a right to acquire shares or stocks would be included as taxable income and assessable to salaries tax. In this connection, the mere granting of the subject share option on 1 April 2016 would not be chargeable to salaries tax to Ms Keung.

The assignment gain of HK\$85,000 received by Ms Keung for assigning the 1/3 of the share option (i.e. corresponding to 50,000 shares) on 30 September 2016 would be assessable to salaries tax under s.9(1)(d) and s.9(4)(b) of the IRO in the year of assessment 2016/17. Yet, as the respective share option was assigned to Ms Keung's brother, the IRD may need to ascertain whether the assignment was for tax avoidance purposes, and may request further information for examination. (Para.28, DIPN No.38 (Revised) issued in March 2008)

The gain derived by Ms Keung on 31 October 2017 from the release of 1/2 of her remaining option back to ZG in the amount of HK\$350,000 would be assessable to salaries tax under s.9(1)(d) and s.9(4)(b) of the IRO in the year of assessment 2017/18.

As Ms Keung exercised the remaining portion of the share option on 31 January 2018, the notional gain derived by her on that date in the amount of HK\$200,000 [50,000 x (HK\$5 - HK\$1)] would be chargeable to salaries tax under s.9(1)(d) and s.9(4)(a) of the IRO in the year of assessment 2017/18. However, the notional gain derived by Mr Keung on the same date for the exercise of the share option previously assigned to him should have no salaries tax implication for Ms Keung (subject to the IRD's examination as discussed in the previous paragraph). In addition, the gain generated to Ms Keung and Mr Keung from the disposal of the 50,000 shares respectively and subsequently by them on 31 March 2018 would not be assessable to salaries tax as it was derived from their personal investment.

Answer 9

The gift arrangement would effectively transfer the property right of the jewellery item from Mr Lin's business to Mr Lin's granddaughter. Notwithstanding that the transfer is not taken in the form of sales, it would be classified as the distribution of goods to the shareholder or investor of a business and would be regarded as deemed sales under Article 4 of the Detailed Rules for the Implementation of the Provisional Regulation on Value-added Tax of the People's Republic of China. The market value of the jewellery item to be chosen as gift would then be subject to Value Added Tax ("VAT") exclusively in the contexts of China turnover tax. The applicable VAT rate is 3% (as a small-scale taxpayer) as the business of Mr Lin is operated by him individually. However, no input VAT can be claimed for the deduction for small-scale taxpayers.

Answer 10(a)

Presently there is no qualification or experience requirement for a person or an entity acting as tax advisors in the contexts of both IRO and Stamp Duty Ordinance ("SDO"). Specifically, there is no registration system of tax advisors or representatives in Hong Kong. Accordingly, there is no statutory restriction regulating the eligibility of Mr Chan or CN Chan & Co to provide stamp duty advice to his clients.

Yet, in considering the provision of stamp duty advisory services, Mr Chan should comply with the relevant sections within s.430 "Ethics in Tax Practice" in the *Code of Ethics for Professional Accountants* (Revised in June 2010) published by the Hong Kong Institute of Certified Public Accountants. Specifically, Mr Chan should consider the objectivity of his firm by confirming that a conflict of interest does not exist in providing the tax advisory services to his existing audit clients. In addition, Mr Chan should ensure that CN Chan & Co should have competent professional knowledge to provide stamp duty advisory service.

Answer 10(b)

Case A

Regardless of whether Mr A acquires Property A together with his wife or with his mother, the transaction would not have any Special Stamp Duty (“SSD”) exposure under Heads 1(1AA) and 1(1B) in the First Schedule of the SDO, as Property A has been held by the existing owner for more than three years, and the SSD regime is not applicable accordingly.

From an Ad Valorem Duty (“AVD”) perspective, under Head 1 in the First Schedule of the SDO, acquisition of residential property would be subject to a flat rate of 15% and a fixed duty of HK\$100. However, if the purchaser (or all purchasers) is a Hong Kong permanent resident (“HKPR”) who is acting on his/her own behalf and does not own any other residential property in Hong Kong at the time of acquisition, lower rates under Scale 2 in Head 1 in the First Schedule of the SDO would then be applicable. The Scale 2 rates are also applicable if the HKPR acquires the residential property together with his/her close relative(s) who is (are) non-HKPR(s), and all of them are acting on their own behalf and do not own any residential property in Hong Kong at the time of acquisition.

In connection to the above, the flat rate of 15% would be applicable if Mr A acquires Property A together with his wife, as Mrs A currently owns a residential property in Hong Kong. Yet, if Mr A acquires Property A together with his mother (a close relative and without any residential property in Hong Kong), the applicable rates would be at Scale 2 accordingly. As the consideration of Property A is HK\$7 million, the applicable rate is therefore 3.75% only.

Acquisition of residential property would also be subject to 15% Buyer’s Stamp Duty (“BSD”) under Heads 1(1AAB) and 1(1C) in the First Schedule of the SDO if the purchaser (or any of the purchasers) is (are) non-HKPR(s). In this regard, BSD is not applicable for the acquisition of Property A if it is acquired by Mr A and his wife, as both are HKPR and are acting on their own behalf. In addition, BSD would also be exempt if the acquisition is entered into by Mr A and his mother (a close relative) under s.29CB and s.29DB of the SDO, notwithstanding that Mr A’s mother is not a HKPR.

Case B

Under Head 1 (1A) in the First Schedule of the SDO, the agreement for sales and purchase of property (“AFS”) entered into by Mrs B yesterday would be subject to AVD under Scale 2 rates, as Property B is a residential property and Mrs B has no residential property in Hong Kong at the time of acquisition, and on the basis that she is acting on her own behalf. As the consideration of Property B is HK\$7 million, the AVD rate under Scale 2 is 3.75% only. By the same token, as elaborated in Case A, the AFS would not be subject to SSD and BSD accordingly.

If Mrs B adds her husband in the Property B's conveyance on sales ("COS") as joint owners, Mrs B is regarded as having disposed of half of the Property B to her spouse accordingly. As her husband (a close relative of Mrs B) has already owned a residential property in Hong Kong, the COS will further be chargeable with AVD at Scale 2 rates, which is computed by reference to the stated consideration (HK\$7 million) less part of the stamp duty representing the share of interest of Mrs B in Property B. In this connection, the AVD chargeable amount attributable to the COS would be the Scale 2 rate of 3.75% applicable to half of the consideration of HK\$7 million.

Notwithstanding that the dates of entering the COS (with adding the husband of Mrs B) and the AFS are likely within a 36-month period, the COS would be exempt from SSD as Mrs B's husband is a close relative of Mrs B (para.33(a), Stamp Office Interpretation and Practice Notes No.5 (Revised) issued in July 2014). By the same token, BSD would be irrelevant if Mr B (a HKPR) is added in the COS as the joint owner of Property B respectively.

* * * END OF EXAMINATION PAPER * * *